

HOW TO TRADE?

To trade, we will look for divergences between price movement and A/D indicator. When the price is increasing but the A/D indicator is flat or is south, we can say that the increase is not backed by higher volumes and can revert soon. So, we will keep an eye on the asset price, if it shows any sign of reversal and enters a trade accordingly.

So, we will not accept any trade solely based on A/D indicator. However, it can be used as a leading indicator. We can track wherever divergences are being formed and then enter a trade based on other indicators when we get reversal signs. This is one of the ways to use A/D indicator. An analyst can get creative, look for other ways to use the same, and then backtest to validate their hypothesis.

SUITABILITY

'Accumulation/ Distribution Indicator' is most suitable for large caps and indices. We will avoid small caps and mid-caps as a single participant's actions can influence the entire chart and behavior significantly.

